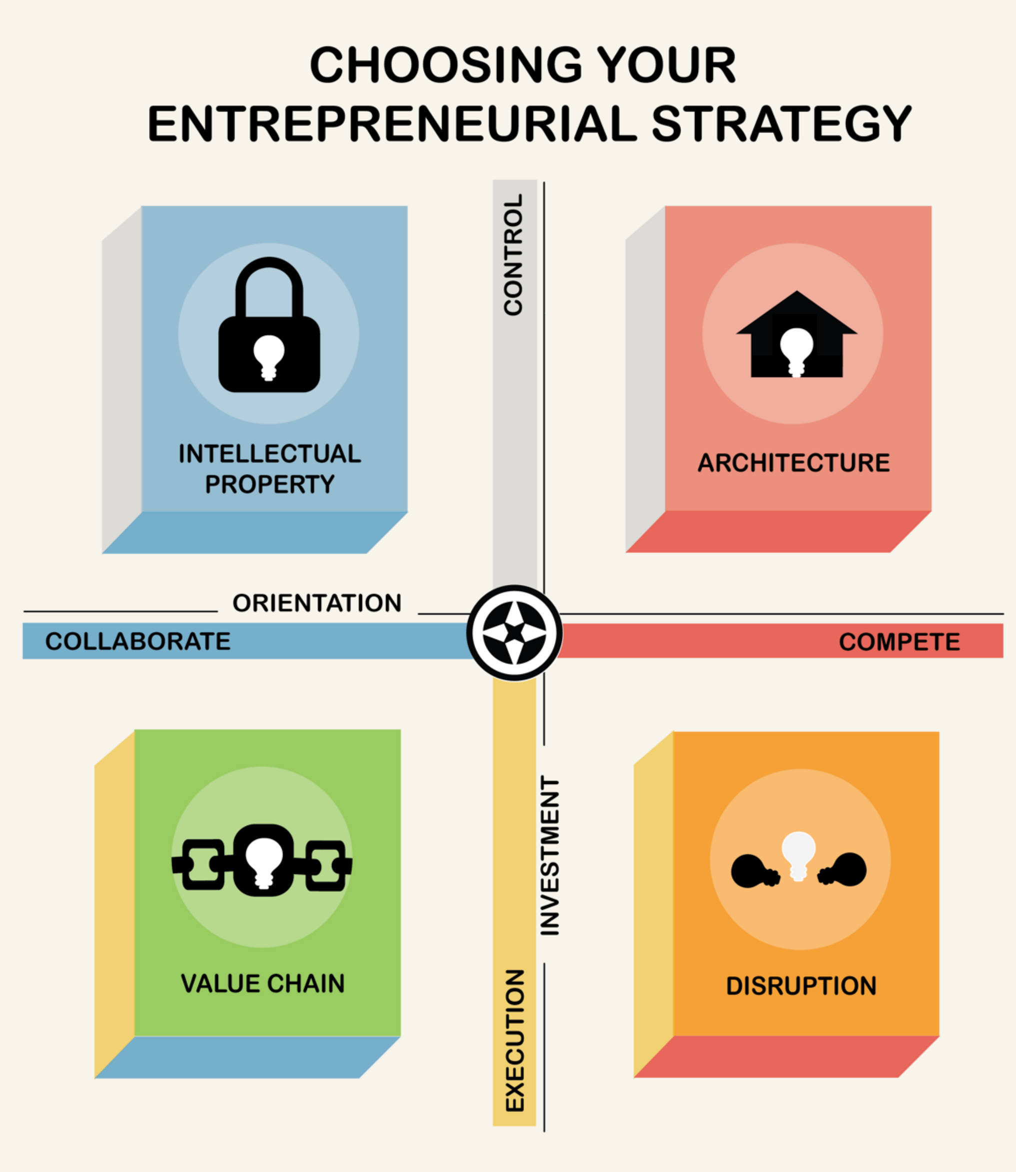
ESBM 3700
ENTREPRENEURIAL ENVIRONMENTS

LECTURE 13
DISRUPTION STRATEGY

University of Colorado Boulder

Our path

Module 1	Module 2	Module 3
Entrepreneurial Mindset	Choosing Your Customer	Disruption Strategy
Ideas to Opportunities	Choosing Your Technology	Intellectual Property Strategy
Business Models	Choosing Your Identity	Value Chain Strategy
Sources of Funding	Choosing Your Competition	Architectural Strategy
Lean Startup	Quiz	Bonus: Startup Failure
Lean Startup Exercise		Bonus: Shark Tank
Venture Pitching		Final Exam


CHOOSING YOUR
ENTREPRENEURIAL STRATEGY
INTELLECTUAL PROPERTY
CONTROL
ARCHITECTURE
ORIENTATION
COLLABORATE
COMPETE
VALUE CHAIN
INVESTMENT
EXECUTION
DISRUPTION

- Domination of video rental by Blockbuster (and late fees) motivates Reed Hasting and Marc Randolph to consider online ordering with DVD by mail
- An early focus on “cinephile” customers, less popular (and so less expensive) movies, recommendation system, and partnership with USPS
- Lack of physical footprint made Netflix less “visible” to Blockbuster compared to local competition, and BB franchisees resisted move away from bricks
- Importantly, Netflix “disrupts” itself by pioneering charge into streaming and content creation

Polaroid and Digital Photography

- **1920s – 1970s:** Led by visionary Edwin Land, Polaroid built a strong competitive advantage in "instant photography," delivering high-quality, "Kodak-like" instant prints that captivated consumers.

- **1980s:** Leveraging its strong position in instant cameras and film, supported by a razor-and-blade pricing strategy, Polaroid made substantial investments in early digital photography, aiming to develop a portable "printer-in-the-field" device.

- **1990s:** Polaroid made several unsuccessful attempts to commercialize digital cameras but remained primarily focused on delivering revolutionary, high-quality instant prints, prioritizing this over gradual advancements in emerging digital imaging technologies.

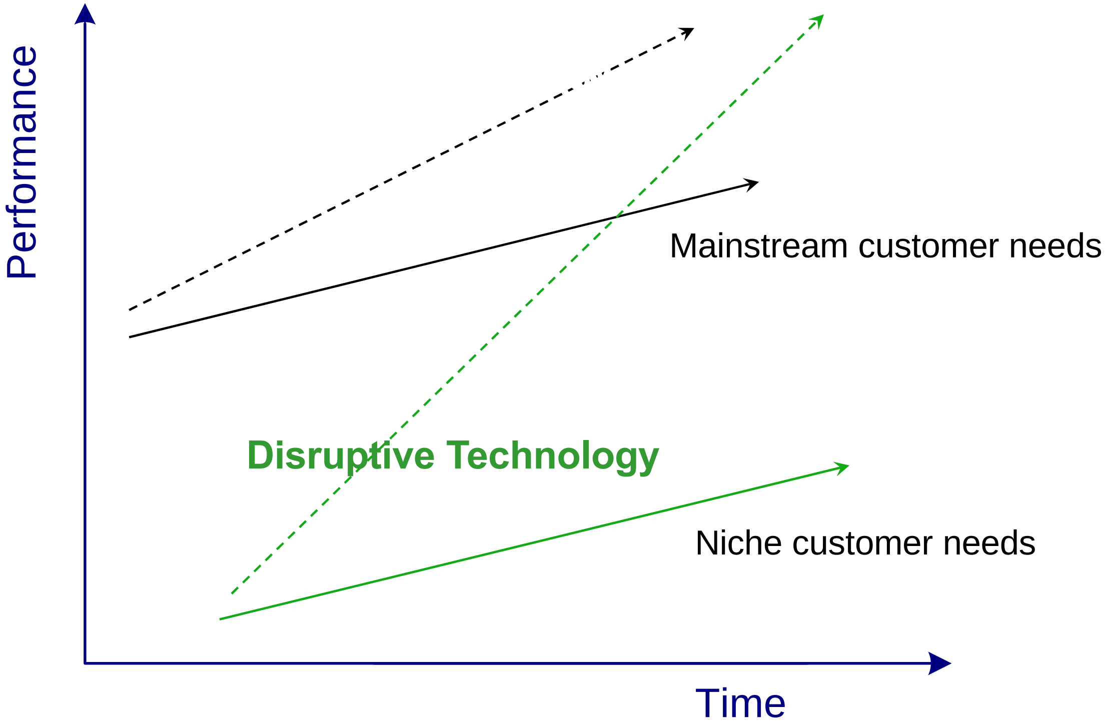
- **2001:** Polaroid ultimately declared bankruptcy, leading to the liquidation of its assets and a valuation of $225 million for its iconic brand name.

Judo Strategy

The hidden weaknesses of established firms

- **Market inertia**
  - **Cannibalization**
    - The concern of an established firm about introducing a new product that might reduce the market share of its existing products.
  - **Innovator's dilemma**
    - Overserving existing customer segments, when a new customer segment is served by the new technology.
- **Organizational inertia**
  - **Diseconomies of scope**
    - a situation where it becomes less cost-efficient for a company to produce two or more products together rather than producing them separately.
  - **The challenges of architectural innovation**
    - While an architectural innovation uses existing components, the relationships and interactions between those components change, potentially delivering new functionalities or efficiencies. Example: ceiling fans and standing fans
- **The potential for multiple disruptive technologies**

Market inertia



Disruptive Innovation is initially introduced into an unfavorable or unfamiliar market segment. Incumbents are slow to respond precisely because they are serving their "core customers"

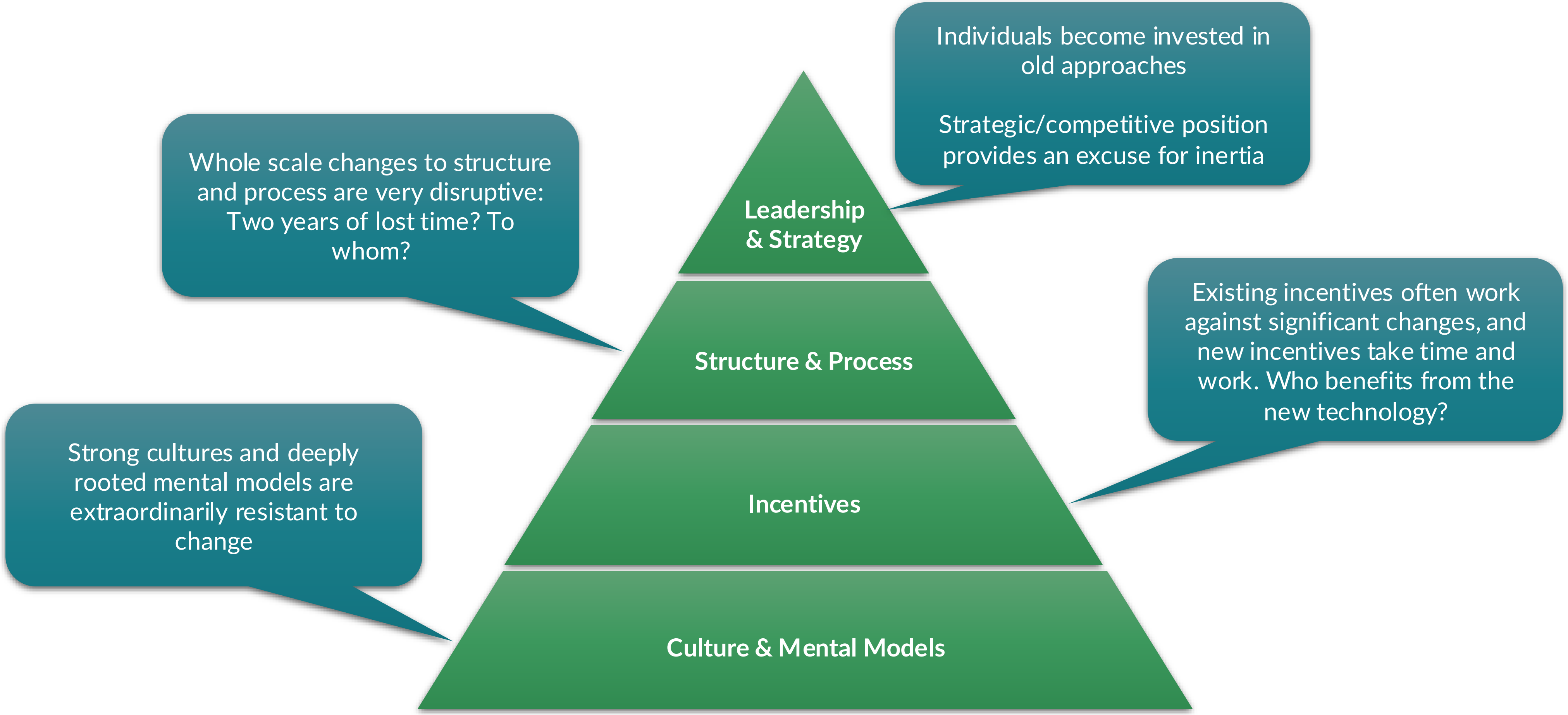
The innovator’s dilemma

- Traditional strategy emphasizes the central importance of staying “close to the customer”
  - Even in the best of circumstances, advantage relies on superior responsiveness to emerging customer needs
  - Traditional sources of advantage depends on *not* taking core customers “for granted”

- At their earlies stages, disruptive technologies don’t even seem like attractive opportunities
  - Focus is on “over-served” customer segments (those who do not want to pay for the “extra” performance in the established technology)
  - **New technology cannibalizes sales from existing customer segments**

- **The innovator’s dilemma:** S-curve logic dictates that some (but not all) technologies originally focused on this low-end market will ultimately provide performance that competes directly with main customer segment
  - **And switching S-curves takes time and lots of investment!**

Why can't organizations respond to a new S-curve?



Finally, most technological “threats” actually fail to enter mainstream markets!

Segway

webvan.com

Disrupting traditional grocers

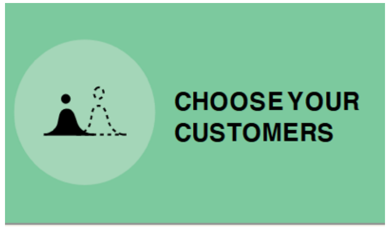
A disruptive strategy requires a well-grounded hypothesis of why established firms will be **slow to respond.**

Developing and implementing a disruptive strategy

- **Avoid Detection:** Choose the earliest market segments to evade detection and attention from established players
- **Differentiate:** Choose a market position that occupies a "lonely place on the strategic frontier"
- **Customer Focus:** Choose performance metrics and applications that meet emerging customer needs, even if they are at odds with traditional performance metrics
- **Learn & Experiment:** Meeting these needs often involves real-time market experimentation
- **Hustle:** Competitive advantage is highly dependent on execution and implementation

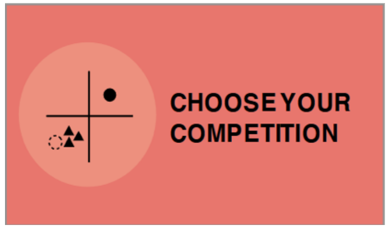
Developing and implementing a disruptive strategy

- **Don't moon the giant:** Relentlessly focus on customers and the novel value proposition you deliver, rather than public and vivid comparisons with the established players.
- **Don't try to rush the market s-curve:** Focusing on early adopters (and segments poorly served by the established technology) allows you to develop the capabilities and competencies required for mainstream entry, but this takes both time and money.
- **Don't underestimate the costs of value chain building:** The costs of delivering a compelling and robust value chain are many times more expensive than the costs of initially developing the "idea."



Focus on **over-served or entirely new** customer segments

Focus on technologies that **create new S-curves**



Focus on **competition** and **execution**

Build capacity for **lean experimentation**

Target an **unoccupied position**

THANK YOU!